

Rate of return is the interest earned from a particular project

In this method we have to find out (i) at interest rate the project will be profitable

Rate of return is of two types

MARR - (Minimum Acceptable rate of return)

IRR - (Internal Rate of return)

MARR - which producer must get to remain in the business, it is fixed by Indian

IRR - is the actual rate of return which the producer gets from the business